



[Home](#) / [Blogs](#) / [Personal Loan](#) / [How to avoid personal loan scams](#)

Personal Loan

How to Identify and Avoid Personal Loan Scams: Complete Guide

Apply for Personal Loan





unsuspecting individuals. The first step to protecting yourself is by being aware and cautious. Continue reading to understand the common personal loan scams prevalent, tips to avoid falling victim, and how to apply for a personal loan online safely through trusted platforms.

Common types of personal loan scams in India

Personal loan scams have become increasingly common today as the demand for quick financial solutions rises. Knowing the common types of these frauds can assist you for your protection against such unscrupulous schemes.

- **Phishing scams:** Scammers impersonate legitimate lenders through emails, messages, or calls to obtain sensitive personal information such as bank details, Aadhaar numbers, and PAN card information. This information is then used for identity theft or other fraudulent activities.
- **Advance fee scams:** In this type of scam, fraudsters ask for upfront fees under various pretences, such as processing fees or taxes. Once the fee is paid, the scammer disappears, and the promised loan never materialises.
- **Fake lenders:** Some scammers create fake lending platforms that appear legitimate. They lure individuals with attractive offers like low interest rates and instant approvals, particularly targeting those with poor credit histories. Once a victim applies for a loan, the scammer collects personal information for illicit purposes.
- **Data breaches:** Cybercriminals may hack into databases of legitimate financial institutions to steal personal data. This information can be used to apply for loans fraudulently in someone else's name.
- **Pressure tactics:** Scammers often use high-pressure sales tactics to rush individuals into making quick decisions when it comes to loans. They create a false sense of urgency by claiming that offers are for a limited time only or that applying elsewhere could harm their credit score.
- **Unprofessional communication:** Scammers may communicate in an unprofessional manner, filled with errors or aggressive language. Legitimate lenders maintain a professional tone and provide clear communication throughout the loan process.
- **Lack of transparency:** Many scams involve vague terms and conditions. If a lender is not transparent about interest rates, repayment schedules, hidden fees or any other terms, it is more than likely a scam.
- **No physical address or contact information:** Legitimate lenders will always provide verifiable physical addresses and contact details. Be cautious of lenders who operate without this information or have poorly designed websites.

Steps to avoid personal loan scams

1. **Verify the lender's authenticity:** Check the lender's registration, contact details, and customer reviews before proceeding. Legitimate lenders are listed with RBI or other regulatory bodies.
2. **Avoid upfront payments:** Authentic lenders deduct charges from the loan amount rather than demanding fees in advance.
3. **Scrutinise offers:** Beware of overly attractive loan terms. Research market rates and question deals that sound too good to be true.
4. **Safeguard personal information:** Share sensitive details only on secure platforms and verify the URL of the lender's website.
5. **Check communication channels:** Genuine lenders communicate via official channels and avoid personal calls or messages.
6. **Read terms carefully:** Always review the loan agreement to understand charges, penalties, and terms before signing.

Secure your finances with trusted personal loan options





including instant eligibility checks, EMI calculators, and secure transactions.

Make sure that you look for features like:

- **Trusted partnerships:** Reputable lenders with proper licensing.
- **Transparent policies:** Clear details about interest rates, fees, and repayment schedules.
- **User-friendly platforms:** Secure websites or apps to manage your loan from application to closure.

Conclusion

Personal loan scams are increasingly becoming a major concern, but with the right knowledge and precautions, you can protect your finances. You should always check the authenticity of lenders, be cautious not to share sensitive details with strangers, and opt for secure platforms to apply for a personal loan online. By staying informed and cautious, you can ensure a safe and seamless borrowing experience, free from fraudulent traps.

Multi-purpose Personal Loans from YES BANK:

Personal Loan for Travel	Personal Loan for Medical Emergency	Personal Loan for Home Renovation
Personal Loan for Students	Personal Loan for Wedding	Personal Loan for Salaried

Other YES BANK’s Financial Products for You!

Savings Account	Credit Card	Business Loan
---------------------------------	-----------------------------	-------------------------------

Disclaimer:

The contents on this site, including news, articles, quotes, data and other information (“Publication”), is provided by YES BANK Limited, its affiliates (collectively, “YES BANK”) for informational and educational purposes only. One should not interpret, construe or understand any of the Publication, information or other materials contained therein, as legal, tax, investment or financial advice. The Publication is not intended to be recommendation or endorsement for any particular financial instruments, investments or services and products offered by YES BANK. Neither YES BANK nor its affiliates guarantee the accuracy, adequacy, completeness, timeliness or availability of any content contained in the Publication, and neither YES BANK nor its affiliates are responsible or liable for any errors or omissions (negligent or otherwise) in the Publications, regardless of the cause, or for the results obtained from the use of such content. In no event shall YES BANK and its affiliates be liable for any damages, costs, expenses, legal fees, or losses (including lost income or lost profit and opportunity costs) in connection with any use of Publication. All financial decisions shall be at the sole discretion of the individuals.

Disclaimer

YES Bank Ltd will never ask you to share your User ID, Password, MPIN, Debit Card Pin, One-Time Password (OTP), Card Verification Value (CVV) or any other confidential banking credentials through phone call, SMS, e-mail, Whatsapp or any other communication channel. Any call, message, or e-mail requesting such information may be an attempt to fraudulently access your account or withdraw funds. If you receive or come across any such suspicious communication, please immediately report it to yes touch@yes.bank.in or our 24/7 Contact Center at **1800 1200**

Products for You

Services





Connect



Download IRIS by YES BANK

The next-gen mobile banking app



Customer Care

[1860 210 1200](#)
(Charges applicable as per the service provider)

[1800 1200](#) (Toll Free).

Credit Card Queries

[1860 210 1200](#)
(Charges applicable as per the service provider)

For Marquee/Reserv customers

[1800-103-6000](#) (Toll Free).

All other Credit Cards

[1800-103-1212](#) (Toll Free).



- About Us Life Ko Banao Rich Sustainability at YES BANK Media Centre Investor Relations Blogs IFSC Code FAQs Rates & Charges
- Regulatory Policies Terms & Conditions Regulatory Disclosures Section Whistle Blower Policy (PDF, 222KB) Privacy Policy
- Important Links - Digital Lending (PDF, 148KB) Secure Banking RBI Kehta Hai RBI Sachet Careers

© YES BANK 2026. All rights reserved.

